

Tata Consumer Products Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.tataconsumer.com/
Sector	nan
Market Cap	350,543.35 Cr
PE Ratio	54.79
PB Ratio	7.14
Dividend Yield	1.87 %

Financial Quality

ROE	8.32
ROCE	10.6
CFO Quality	Moderate
FCF CAGR	-16.81%
Capital Pattern	Balanced

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Tata Consumer Products Ltd. is one of the leading companies of the Tata Group, with presence in the food and beverages business in India and internationally. It is the second largest tea company globally and has significant market presence and leadership in many markets. In addition to South Asia (mainly India), it has presence in various other geographies including Canada, UK, North America, Australia, Europe, Middle East and Africa. [1]

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

No significant financial weakness identified, however future performance should continue to be monitored.